MWG

Initiation of Coverage

June 26, 2026

Initiate with HOLD

12M Target Price
88,476 VND

Share Price (Jun 26 2026)
78,500 VND

Expected Return
12.7%

Market Cap (Jun 26 2026)
115.3tn

Primary Method
SOTP

DCF Cross-check
107,879 VND

10-session avg volume
4,270,300

52w low (VND)
59,050 VND

52w high (VND)
94,400 VND

Largest shareholder
10.4%

Foreign ownership
48.9%

Free-float:
75.0%

MWG VN - Vietnam retail

Mobile World Investment Corporation

Core recovery, BHX execution upside, SOTP as the cleaner lens

We initiate coverage on MWG with a HOLD rating and a base SOTP target price of VND 88,476/share, implying 12.7% upside.

The key question is whether the 2024-2026 earnings recovery can continue as BHX expands and DMX/TGDD keeps core profit stable.

- DMX Investment remains the main valuation support because of the IPO benchmark and its large profit contribution.
- BHX is the main variable: new stores can lift revenue, but weak new-store productivity would hurt the case.
- The model assumes moderate margin improvement rather than aggressive expansion; operating leverage comes from productivity and cost discipline.
- SOTP is the main valuation method; DCF is used as a cross-check because it is sensitive to terminal assumptions.

FY Dec	2024A	2025A	2026E	2027E	2030E
Revenue (VND tn)	134.3tn	155.9tn	185.0tn	210.7tn	267.2tn
EBIT (VND tn)	5.2tn	8.7tn	10.2tn	12.9tn	19.2tn
EBIT margin	3.9%	5.6%	5.5%	6.1%	7.2%
NPATMI (VND tn)	3.7tn	7.0tn	9.2tn	11.4tn	16.4tn
EPS (VND)	2,535	4,790	6,297	7,753	11,192
P/E (x)	31.0x	16.4x	12.5x	10.1x	7.0x

Investment case
The positive view is not simply a bet on retail recovery. It depends on DMX/TGDD keeping profit quality while BHX expands without a lasting drop in RPSM or too much cash tied up in working capital.

What would make us wrong
The case weakens if BHX revenue growth comes mainly from opening stores, not better mature-store productivity, or if the core recovery depends on promotions, inventory build-up or weaker financed sales.

Valuation read-through
SOTP is the main method because MWG mixes a mature profit core, a growing grocery chain and smaller side businesses. DCF remains a cross-check because terminal value, capex and working capital still matter.

Executive Summary

We initiate with HOLD. The view is positive, but not aggressive. The investment case is that MWG can keep DMX/TGDD as the main profit source while expanding BHX without losing the margin and working-capital recovery already shown in the model.

Metric	Base case
Rating	HOLD
Target price	VND 88,476
Current price	VND 78,500
Upside	12.7%
2026E revenue	185.0tn
2026E NPATMI	9.2tn
Base WACC	11.2%

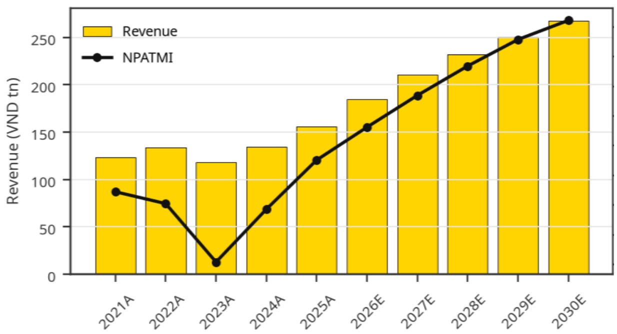

Figure 1. Revenue and NPATMI recovery / forecast

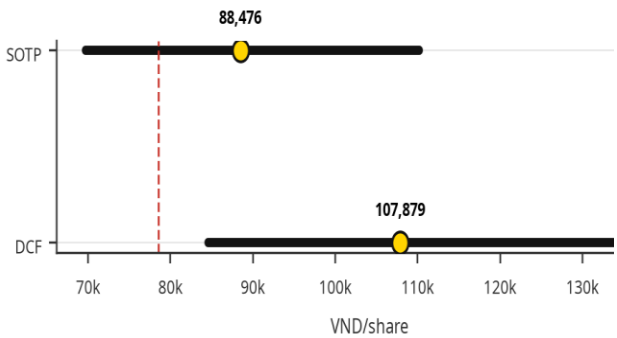

Figure 2. Target price range by method

Debate	Evidence	Implication
Core profit quality	2026E EBIT margin 5.5% vs 2025A 5.6%.	Base case does not rely on stretched margin assumptions.
BHX execution	BHX revenue rises from 46.9tn in 2025A to 112.7tn in 2030E.	Revenue growth must come with better store productivity.
Valuation	Base SOTP TP 88.5k vs DCF 107.9k.	SOTP is the more conservative method.

Why SOTP provides a more conservative valuation anchor.
The base case already includes a holding discount, partial net-cash credit and a BHX execution discount. Upside therefore comes less from aggressive margin assumptions and more from valuing the stable core and BHX separately.

Analyst takeaway
The investment case is not simply a bet on retail recovery. It depends on two visible KPIs: DMX/TGDD keeping profit quality and BHX expanding without a lasting RPSM drop or working-capital pressure.

Company Overview and Business Model

MWG is best viewed as a group of retail businesses at different stages, not only an ICT retailer. TGDD/TopZone and DMX are the mature profit base; BHX is the growing grocery chain; An Khang and AVAKids are smaller turnaround or niche businesses.

Segment	Role	2026E revenue	Maturity	Valuation lens
TGDD/TopZone	Mobile and Apple retail	39.3tn	Mature	Part of DMX IPO anchor
DMX	Consumer electronics core	80.9tn	Mature	IPO anchor / earnings
BHX	Grocery growth engine	55.5tn	Scaling	EV/Sales with execution discount
An Khang	Pharmacy turnaround	2.9tn	Early	Conservative EV/Sales
AVAKids	Baby/niche retail	1.7tn	Small	Niche EV/Sales

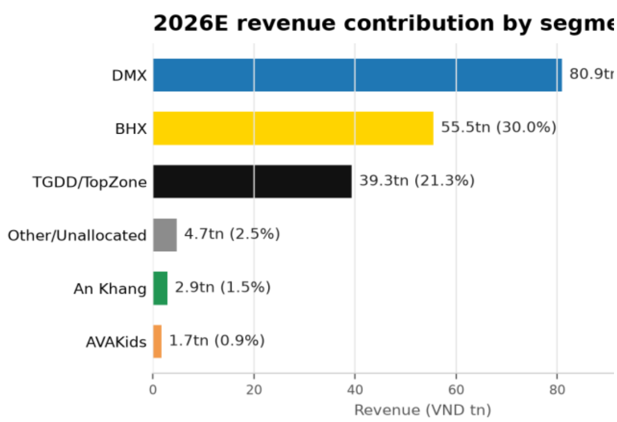

Figure 3. 2026E revenue contribution by segment

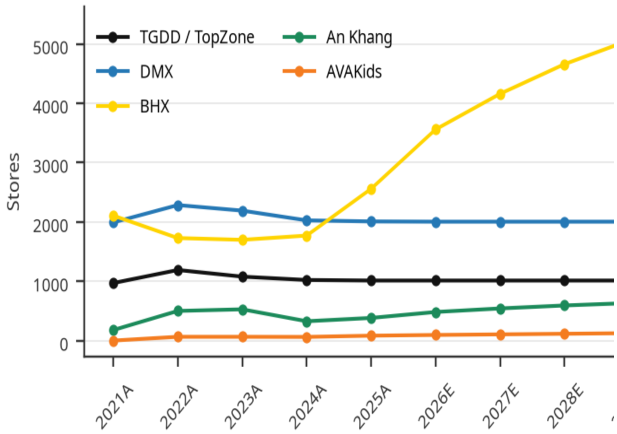

Figure 4. Store count by chain

Why one group multiple is weak
One P/E or EV/EBITDA multiple would mix mature DMX earnings with BHX rollout risk and smaller businesses. SOTP values each business based on its own growth, margin and risk profile.

Industry and Competitive Landscape

Market	Structure	MWG edge	Key risk
ICT / mobile	Mature replacement market	Scale, brand, financing, TopZone	Demand softness, price competition

Consumer electronics	Large but cyclical category	DMX network, services, installation	Margin pressure in promotions
Modern grocery	Fragmented and underpenetrated	BHX format and logistics learning curve	New-store dilution and shrinkage
Pharmacy / baby	Smaller optionality	Traffic and retail operating know-how	Turnaround not yet fully proven

ICT/CE is a mature replacement-cycle market, so upside comes from store productivity, services and clean inventory, not from opening many new stores. Grocery is the larger opportunity, but it is harder to execute because fresh-food logistics, shrinkage and regional rollout can absorb profit before scale benefits appear.

Company	Relevant angle	Use in valuation
FRT	ICT retail + Long Chau pharmacy	An Khang proxy and retail comp
DGW / PET	ICT distribution exposure	Tech consumption sanity check
MSN/WCM	Modern grocery reference	Grocery multiple reference, not pure BHX
Regional retailers	ICT/CE and grocery benchmarks	Broker multiple context

Analyst takeaway

Peer comparison is not perfect because MWG combines ICT/CE, grocery and smaller retail businesses. It is still useful as a check, but the key proof is internal: RPSM, EBIT margin and inventory days.

Thesis 1 - DMX/TGDD Productivity-led Recovery

The core ICT/CE business is modeled as a productivity-led recovery, not a store-opening story. The key question is whether stronger RPSM, product mix, services, consumer finance and tighter inventory control can keep profit quality after the rebound.

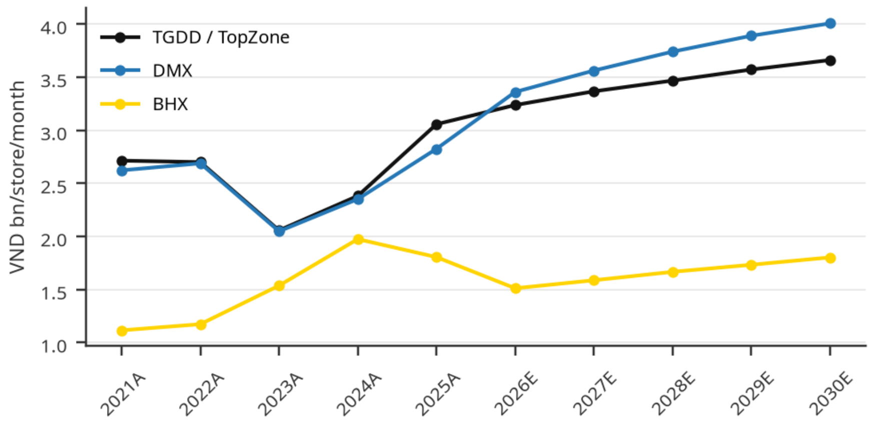

Figure 5. Revenue/store/month by core chains

Core chain	2025A rev	2026E rev	2030E rev	RPSM 2026E	Driver
TGDD/TopZone	37.3tn	39.3tn	44.5tn	3.24	Mobile / Apple productivity
DMX	68.4tn	80.9tn	96.4tn	3.36	CE demand, services, financing

What to monitor	Why
SSSG and category mix	Shows whether recovery comes from real demand or promotions.
Consumer finance penetration	Supports basket size but adds cycle risk.
Service attachment	Improves gross profit quality.
Inventory days	Shows whether growth is clean or driven by inventory build-up.

Analyst takeaway
Stable core profit supports the DMX IPO benchmark and lowers downside risk. The case would weaken if DMX/TGDD growth needs inventory build-up, heavy promotions or lower-quality financed sales.

Thesis 2 - BHX Scale-up

BHX is the biggest variable in both forecast and valuation. The upside case is not revenue growth alone; BHX also needs new stores to mature, stable revenue/store/month, lower logistics cost and controlled shrinkage.

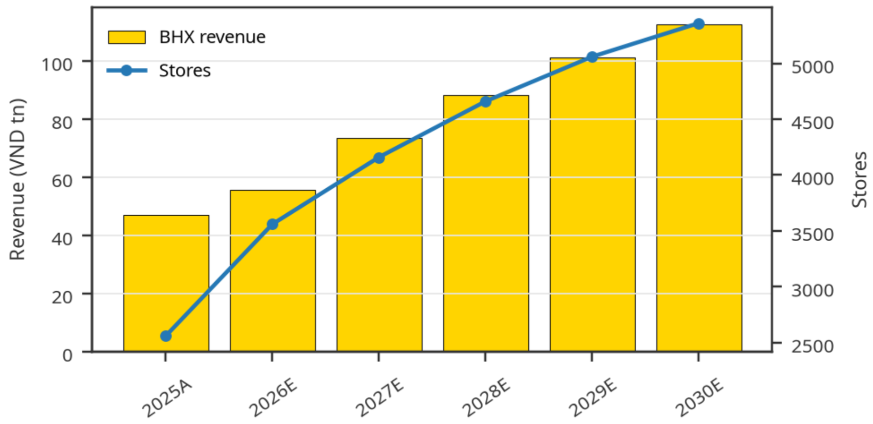

Figure 6. BHX revenue growth vs network expansion

BHX KPI	2025A	5M26A	2026E	2027E	2030E
Revenue	46.9tn	23.1tn	55.5tn	73.5tn	112.7tn
Ending stores	2,559	3,051	3,559	4,159	5,359
RPSM	1.81	1.65	1.51	1.59	1.80
Revenue growth	14.1%	18.3%	18.3%	32.5%	11.5%
New stores	789	532	1,000	600	300

Rapid store rollout can lower near-term RPSM (RPSM is calculated using average store count during the period.) because new stores need time to mature. The model therefore treats 2026E as a dilution year, then assumes productivity recovers later. This KPI shows whether BHX is expanding profitably or only buying revenue by opening stores.

Analyst takeaway

BHX deserves an EV/Sales discount until revenue growth turns into store-level profit and cash flow. If RPSM stays weak after new stores mature, the multiple should fall even if headline revenue keeps rising.

Thesis 3 - Operating Leverage and Margin

The base case assumes moderate operating leverage, not a big jump in gross margin. The earnings bridge works only if gross margin stays stable, selling expense/revenue falls with productivity and G&A/revenue improves with scale.

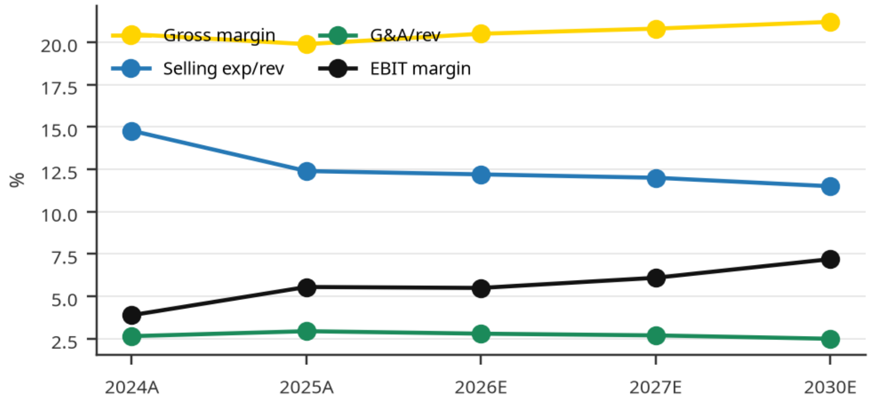

Figure 7. Margin bridge and operating leverage drivers

Metric	2024A	2025A	2026E	2027E	2030E
Gross Margin	20.5%	19.9%	20.5%	20.8%	21.2%
Selling Expenses / Revenue	14.8%	12.4%	12.2%	12.0%	11.5%
G&A Expenses / Revenue	2.7%	2.9%	2.8%	2.7%	2.5%
EBIT Margin	3.9%	5.6%	5.5%	6.1%	7.2%
NPATMI Margin	2.8%	4.5%	5.0%	5.4%	6.2%

Margin driver	Model treatment	Analyst view
Gross margin	20.5% in 2026E to 21.2% in 2030E	Small lift; the model does not require a major mix/pricing surprise.
Selling expense	12.2% to 11.5% of revenue	Main leverage lever; depends on productivity and logistics discipline.
G&A	2.8% to 2.5% of revenue	Scale benefit, but kept conservative to avoid overfitting.
Working capital	Inventory days gradually lower	Checks whether margin recovery is clean or inventory-led.

Analyst takeaway

What could go wrong: gross margin weakens, selling expense/revenue stops improving, or inventory days rise as

BHX expands. Any of these would show that revenue growth is not turning into quality EBIT.

Revenue Forecast Build

The forecast is driver-based because MWG segments grow for different reasons. Mature chains rely on RPSM and productivity; BHX relies on store count and new-store maturity. One group-level growth rate would hide the rollout risk.

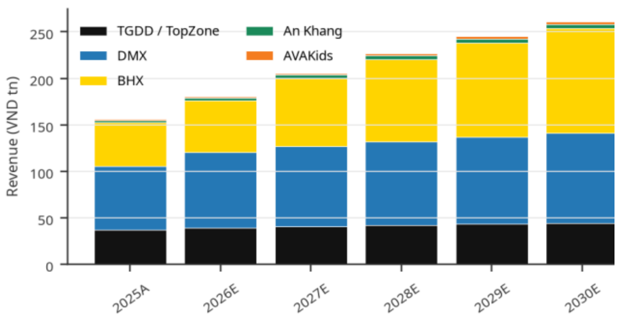

Figure 8. Segment revenue forecast by chain

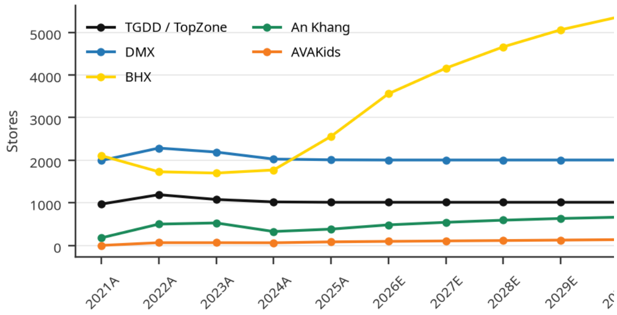

Figure 9. Ending store count forecast

Segment	2025A	2026E	2027E	2030E	Key assumption
TGDD/TopZone	37.3tn	39.3tn	40.9tn	44.5tn	RPSM recovery
DMX	68.4tn	80.9tn	85.7tn	96.4tn	Productivity and services
BHX	46.9tn	55.5tn	73.5tn	112.7tn	Stores plus mature RPSM
An Khang	2.2tn	2.9tn	3.5tn	4.9tn	Turnaround growth
AVAKids	1.4tn	1.7tn	2.0tn	2.9tn	Niche online mix

Analyst takeaway
RPSM is the key forecast check. If future RPSM growth is much higher than history, the analyst must explain why productivity, mix or store maturity improved; otherwise the forecast is just a growth plug.

Financial Forecast

VND bn	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	134,341	155,928	185,000	210,702	232,017	250,797	267,230
Revenue Growth	13.6%	16.1%	18.6%	13.9%	10.1%	8.1%	6.6%
Gross Profit	27,499	31,002	37,925	43,826	48,724	52,918	56,653
Gross Margin	20.5%	19.9%	20.5%	20.8%	21.0%	21.1%	21.2%
Selling Expenses	19,850	19,331	22,570	25,284	27,378	29,092	30,732

G&A Expenses	3,566	4,596	5,180	5,689	6,032	6,270	6,681
EBIT	5,227	8,664	10,175	12,853	15,313	17,556	19,241
EBIT Margin	3.9%	5.6%	5.5%	6.1%	6.6%	7.0%	7.2%
Profit Before Tax	4,826	8,633	11,628	14,324	16,820	19,078	20,709
NPATMI	3,722	7,034	9,247	11,385	13,362	15,148	16,435
NPATMI Margin	2.8%	4.5%	5.0%	5.4%	5.8%	6.0%	6.2%

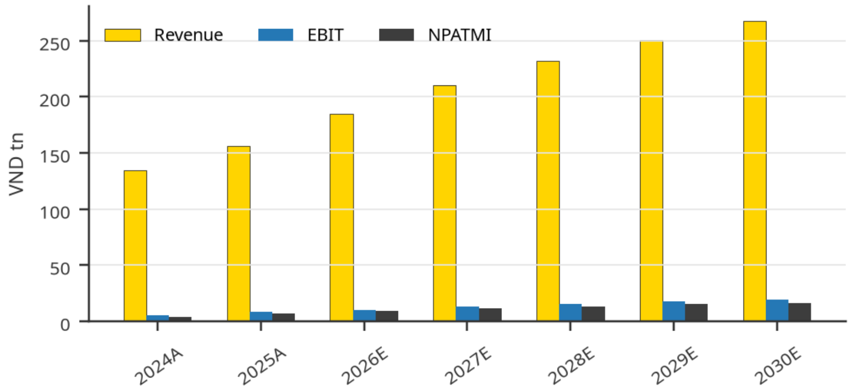

Figure 10. Revenue, EBIT and NPATMI trend

Earnings quality check

Revenue growth is stronger than margin expansion because the model assumes scale benefits, not a big change in gross margin. Earnings growth therefore comes from operating leverage and cost control, not aggressive pricing assumptions.

Balance Sheet and Working Capital

Retail models can show profit while using cash if inventory and payables move against the company. For MWG, inventory days and payable days are important because they show whether growth funds itself or absorbs cash.

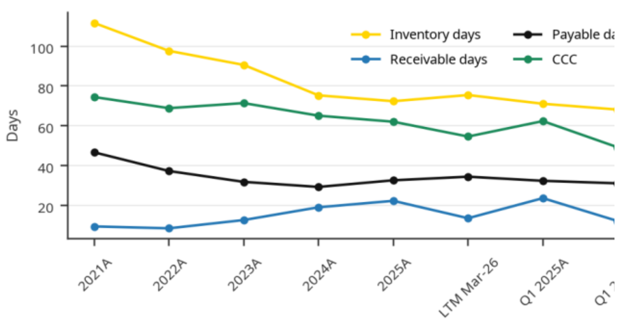

Figure 11. Inventory, payable, receivable days and CCC

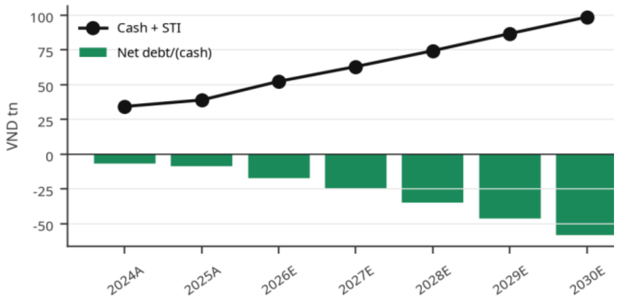

Figure 12. Net debt/(cash) and liquid funds

VND bn	2024A	2025A	2026E	2027E	2030E
Cash + Short-term Investments	34,222	38,874	52,287	62,917	98,591
Receivables	8,826	10,183	9,123	9,814	10,982

Inventory	22,245	27,267	29,415	32,918	39,231
Trade Payables	9,180	13,114	13,297	15,545	19,615
Total Debt	27,300	29,931	35,150	37,926	40,085
Net Debt	-6,922	-8,943	-17,137	-24,991	-58,506
Total Equity	28,122	33,176	40,629	49,811	86,108

Cash-flow implication
In the base SOTP, we include only 50% of consolidated net cash to avoid double counting against the DMX equity-value anchor, while also leaving room for potential cash needs from BHX expansion.

Cash Flow and Capex

Store expansion affects cash flow through capex and working capital before stores fully mature. The FCFF bridge is important because it shows whether growth funds itself or turns accounting profit into weaker free cash flow.

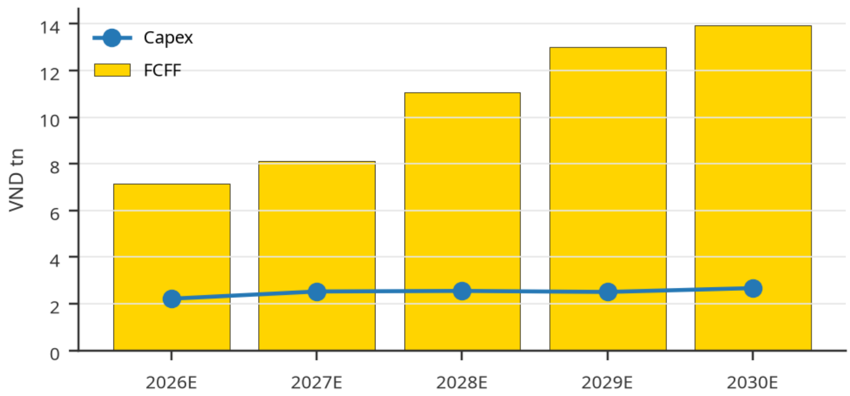

Figure 13. FCFF and capex forecast

VND bn	2026E	2027E	2028E	2029E	2030E
NOPAT	8,140	10,282	12,250	14,044	15,392
D&A	2,128	2,318	2,436	2,508	2,539
Change in Net Working Capital	905	1,946	1,062	1,033	1,316
Capex	-2,220	-2,528	-2,552	-2,508	-2,672
FCFF	7,142	8,126	11,073	13,012	13,943
FCFF Margin	3.9%	3.9%	4.8%	5.2%	5.2%

Analyst takeaway
DCF is useful because it shows capex and working-capital pressure. Even if SOTP is the main method, weak FCFF conversion would weaken the investment case.

Valuation Framework

SOTP is the main method because MWG combines businesses with different growth, margin and capital needs. One group P/E or EV/EBITDA multiple would mix mature ICT/CE cash flow, BHX rollout risk and smaller businesses into one number.

Segment	Method	Why appropriate	Main caveat
DMX Investment	IPO post-money equity anchor	Observable transaction / IPO benchmark	Public float and post-listing trading still matter
BHX	EV/Sales with execution discount	Growth asset where earnings path is still scaling	Multiple depends on store economics
An Khang	Low EV/Sales proxy	Turnaround option, small contribution	Profitability not fully proven
AVAKids	Niche EV/Sales proxy	Small but online/niche optionality	Scale is limited
DCF	FCFF cross-check	Tests long-run cash generation	Terminal-value sensitive

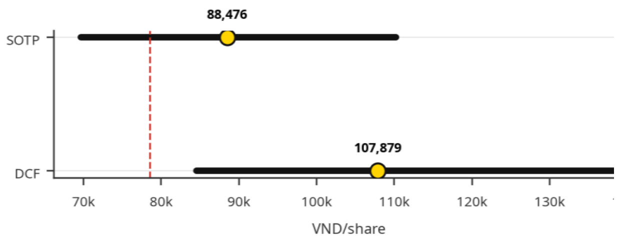

Figure 14. Target price range by SOTP and DCF

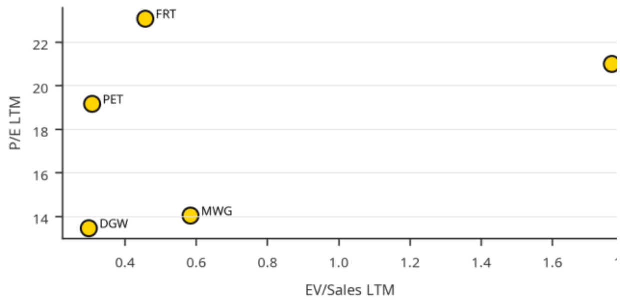

Figure 15. Peer multiple sanity check

Analyst takeaway
The valuation framework has three layers: SOTP is the main method, DCF checks long-term cash flow, and comps keep segment multiples close to market evidence.

SOTP Valuation

Segment / adjustment	Method	Bull	Base	Bear
DMX Investment	IPO anchor x ownership	98.9tn	88.1tn	86.0tn
BHX	2026E revenue x EV/Sales	50.0tn	44.4tn	33.3tn
An Khang	2026E revenue x EV/Sales	1.1tn	0.9tn	0.6tn
AVAKids	2026E revenue x EV/Sales	1.2tn	0.8tn	0.5tn
Gross segment value	sum of parts	151.2tn	134.2tn	120.4tn

Holding discount	- gross value x discount	-7.6tn	-13.4tn	-18.1tn
Net cash adjustment	scenario inclusion	18.3tn	9.1tn	0.0tn
Equity value	gross + adjustments	161.9tn	129.9tn	102.3tn
Target price	equity value / shares	110,240	88,476	69,671

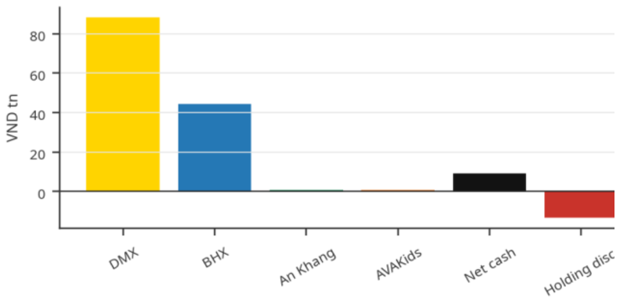

Figure 16. Base-case SOTP value composition

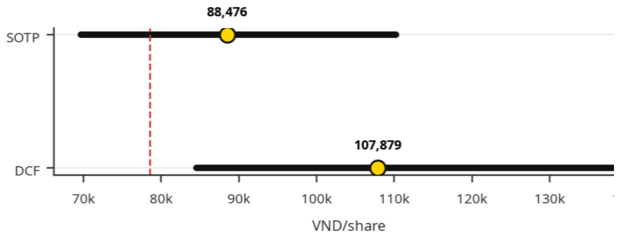

Figure 17. Target price range by method

Valuation input	Base	Rationale
DMX anchor	102.5tn	Core valuation support; anchors the mature profit engine. (DMX base value of VND 88.1tn reflects the VND 102.5tn IPO anchor adjusted for MWG's applied ownership/valuation haircut.)
BHX multiple	0.8x	Growth asset, but discounted for execution and margin risk.
Holding discount	-13.4tn	Captures platform complexity and limited segment disclosure.
Net cash included	9.1tn	Partial credit avoids overvaluing cash needed for expansion.

Analyst takeaway

The SOTP case is conservative: DMX provides the valuation floor, BHX has an execution discount, and the holding discount plus partial net-cash credit reduce overstatement risk.

DCF Cross-check

DCF supports upside but is used only as a cross-check. Most DCF value comes from terminal value, while MWG segment mix is changing. This makes DCF useful as a check, but less clean as the main valuation method.

DCF item	Bull	Base	Bear
WACC	9.7%	11.2%	13.3%
Terminal growth	3.5%	3.0%	2.5%
Enterprise value	185.9tn	140.8tn	106.5tn
Equity value	203.6tn	158.4tn	124.1tn
Target price	138,633	107,879	84,539

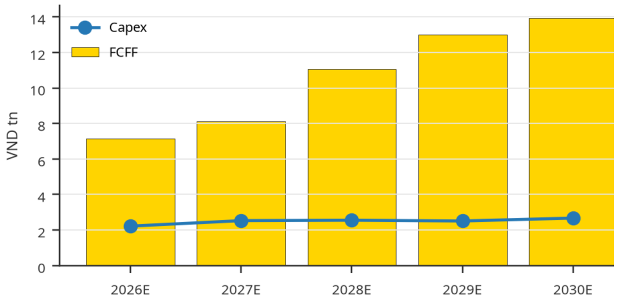

Figure 18. FCFF and capex trend

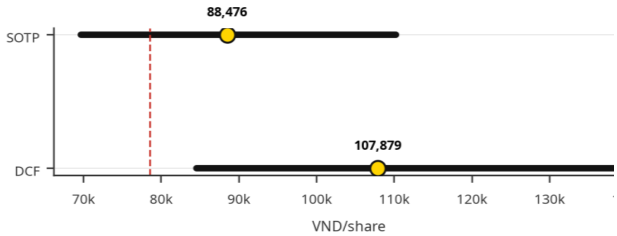

Figure 19. DCF vs SOTP target range

Analyst takeaway

DCF does not replace SOTP; it checks whether the SOTP target is broadly consistent with long-run FCFF. The risk is that small WACC or terminal-growth changes can move valuation more than operating performance does.

Sensitivity and Scenario Analysis

TG \ WACC	9.7%	10.5%	11.2%	12.0%	12.7%
2.5%	123,946	112,765	103,526	95,766	89,158
2.8%	127,222	115,371	105,638	97,504	90,607
3.0%	130,742	118,152	107,879	99,340	92,132
3.2%	134,535	121,125	110,260	101,280	93,737
3.5%	138,633	124,313	112,796	103,336	95,430

Scenario	SOTP target	DCF target	Interpretation
Bull	110,240	138,633	Higher DMX anchor, lower holding discount and stronger valuation assumptions.
Base	88,476	107,879	Balanced case; SOTP remains primary anchor.
Bear	69,671	84,539	Execution discount, weaker multiple and higher risk premium.

Analyst takeaway

The most important variables are DMX benchmark value, BHX multiple, holding discount, WACC and terminal growth. This means the investment case should be monitored through operating KPIs, not only headline revenue growth.

Risks, Catalysts and Monitoring Dashboard

Catalysts	Risks
DMX IPO progress validating the core anchor. BHX RPSM stabilization after new cohorts mature. EBIT margin holding as revenue scales. Inventory days staying controlled through expansion.	BHX dilution: RPSM fails to recover. Margin pressure: gross margin or EBIT margin reverses. Inventory risk: inventory days rise with expansion. Valuation risk: DMX anchor or BHX multiple de-rates.

Monitoring KPI	Latest / model	Why it matters
BHX RPSM	1.51	Proves or disproves profitable rollout after cohort dilution.
BHX stores	3,559	Fast openings help revenue only if RPSM and margin follow.
EBIT margin	5.5%	Measures whether scale benefits reach operating profit.
Inventory days	68.1	Flags whether growth is absorbing cash or staying disciplined.
Net cash	18.3tn	Supports valuation but should not be fully over-credited.

Appendix: Income Statement and Balance Sheet

VND bn	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	122,958	133,405	118,280	134,341	155,928	185,000	210,702	232,017	250,797	267,230
Gross Profit	27,632	30,862	22,521	27,499	31,002	37,925	43,826	48,724	52,918	56,653
Selling Expenses	17,914	22,337	20,917	19,850	19,331	22,570	25,284	27,378	29,092	30,732
G&A Expenses	3,823	1,881	1,168	3,566	4,596	5,180	5,689	6,032	6,270	6,681
EBIT	6,466	6,575	1,047	5,227	8,664	10,175	12,853	15,313	17,556	19,241
Financial Income	1,288	1,313	2,167	2,377	3,107	3,145	3,371	3,480	3,511	3,474
Interest Expense	674	1,362	1,448	1,137	1,471	1,692	1,900	1,973	1,989	2,005
Profit Before Tax	6,472	6,056	690	4,826	8,633	11,628	14,324	16,820	19,078	20,709
Tax Expense	1,570	1,955	522	1,092	1,560	2,326	2,865	3,364	3,816	4,142
NPAT	4,901	4,102	168	3,733	7,073	9,302	11,459	13,456	15,262	16,567
NPATMI	4,899	4,100	168	3,722	7,034	9,247	11,385	13,362	15,148	16,435
EBITDA	9,386	10,115	4,398	8,140	10,555	12,302	15,171	17,749	20,064	21,779

VND bn	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Cash + Short-term Investments	34,222	38,874	52,287	62,917	74,340	86,676	98,591
Receivables	8,826	10,183	9,123	9,814	10,171	10,307	10,982
Inventory	22,245	27,267	29,415	32,918	35,152	37,407	39,231
Total Assets	70,438	83,946	98,511	114,028	128,481	143,426	158,368

Trade Payables	9,180	13,114	13,297	15,545	17,074	18,433	19,615
Total Debt	27,300	29,931	35,150	37,926	39,443	40,128	40,085
Total Equity	28,122	33,176	40,629	49,811	60,595	72,828	86,108
Net Debt	-6,922	-8,943	-17,137	-24,991	-34,898	-46,548	-58,506

Appendix: Cash Flow, Ratios, Comps and Sources

VND bn	2024A	2025A	2026E	2027E	2028E	2029E	2030E
NPAT	3,733	7,073	9,302	11,459	13,456	15,262	16,567
D&A	2,913	1,891	2,128	2,318	2,436	2,508	2,539
Change in Net Working Capital	2,835	2,445	905	1,946	1,062	1,033	1,316
CFO (Simplified)	3,812	6,519	10,525	11,831	14,831	16,738	17,790
Capex	-304	-888	-2,220	-2,528	-2,552	-2,508	-2,672
Debt Movement	2,186	2,631	5,219	2,776	1,516	685	-43
Dividends Paid	-731	-1,478	-1,849	-2,277	-2,672	-3,030	-3,287
FCFF	3,818	5,656	7,142	8,126	11,073	13,012	13,943
FCFF Margin	2.8%	3.6%	3.9%	3.9%	4.8%	5.2%	5.2%

Ratio	2021A	2022A	2023A	2024A	2025A	Q1 2026A	LTM
Gross Margin	22.5%	23.1%	19.0%	20.5%	19.9%	20.9%	20.2%
EBIT Margin	5.3%	4.9%	0.9%	3.9%	5.6%	7.2%	6.1%
NPATMI Margin	4.0%	3.1%	0.1%	2.8%	4.5%	5.8%	4.9%
ROE	24.0%	18.5%	0.7%	14.5%	22.9%	31.4%	23.7%
ROIC	19.4%	20.2%	3.4%	18.4%	30.5%	51.1%	38.5%

Inventory Days	111.7	97.6	90.6	75.3	72.3	68.1	75.4
Cash Conversion Cycle	74.4	68.8	71.4	65.1	62.0	49.2	54.6
Current Ratio	1.2	1.7	1.7	1.6	1.5	1.6	1.6
Net Debt / EBITDA	0.7	0.1	0.2	-0.9	-0.8	-1.2	-1.5
Interest Coverage	9.6	4.8	0.7	4.6	5.9	8.1	6.4

Source group	Use in report
MWG disclosures	Guidance, monthly/YTD performance, DMX IPO anchor.
MWG_Equity_Research_Model_Main.xlsx	Historical FS, forecast, DCF, SOTP, sensitivity, FP&A.
Vnstock API / peer export	Peer multiples and market data sanity check.
Personal estimates	Forecast assumptions where public data is unavailable.